

Date: 07th October 2026

To,
The General Manager
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001

Scrip Code: 976137, 976147, 976287, 976448, 976533, 976654, 976890, 976935, 976976, 977073, 977261, 977431, 977496, 977596, 977680, 977837, 977907, 978016

Subject.: Intimation of Press Release published by India Ratings and Research Private Limited w.r.t. Rating Upgrade pursuant to Regulation 51 read with Schedule III of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”)

Dear Sir/Ma’am,

Please find enclosed herewith Press Release published by India Rating and Research Private Limited, relating to Rating Upgrade for NCDs of the Company to “IND A/Stable” from “IND A-/Positive.”

The above information will be made available on the Company’s website.

You are requested to take the above information on record.

Thanking you.

Yours faithfully,
For **Earlysalary Services Private Limited**

V
SWAMINATHAN
AN

Digitally signed by
V SWAMINATHAN
Date: 2026.10.07
10:40:18 +05'30'

V Swaminathan
Chief Compliance Officer

Encl.: As above

India Ratings Upgrades EarlySalary Services' NCDs to 'IND A'/Stable

Oct 06, 2026 | EarlySalary Services Pvt. Ltd. | Non Banking Financial Company (NBFC)

India Ratings and Research (Ind-Ra) has upgraded the rating on EarlySalary Services Pvt. Ltd's (ESPL) non-convertible debentures (NCDs) to 'IND A' from 'IND A-', with a Stable Outlook, as follows:

Details of Instruments

Instrument Type	Regulator of Instrument	Date of Issuance	Coupon Rate	Maturity Date	Size of Issue (INR million)	Rating Assigned with Outlook/Watch	Rating Action
Non-convertible debentures*	Refer ISIN annexure	-	-	-	500 (reduced from 2,000)	IND A/Stable	Upgraded

*Details in annexure, unutilised

Analytical Approach

Ind-Ra continues to take a consolidated view of ESPL, a non-banking financial company (NBFC), and its 100% parent Social Worth Technologies Limited (SWTL) to arrive at the rating. The rating factors in the strong operational linkages, common promoters, shared management, and fungibility of funds between the parent and its subsidiary, which Ind-Ra does not expect to change over the medium term.

Detailed Rationale of the Rating Action

The rating upgrade reflects the sustained improvement in the group's business scale, profitability, and asset quality, while maintaining comfortable capital buffers. The total managed asset under management (AUM) increased to INR86.04 billion at end-March 2026, supported by growth across personal loans and purpose-driven finance. Profitability has also strengthened on the back of improving operating leverage, higher interest and fee income, and moderation in credit cost. Asset quality has also improved materially from FY25 levels, supported by tighter underwriting, a gradual shift towards higher-ticket and better-quality borrowers, improved performance of recent vintages, and stronger collection efficiency.

Moreover, the group's capitalisation and leverage remain comfortable, providing adequate headroom to support its medium-term growth plans. The rating also factors in the group's technology-driven underwriting capabilities, established lending and co-lending partnerships, diversified product offerings, and ability to raise capital from institutional investors. The rating factors in a proposed initial public offering (IPO), targeted for completion by FYE27, which could strengthen the capital base and support growth.

These strengths are, however, partially offset by the inherent risks associated with unsecured consumer lending, likely volatility in credit costs, potential borrower overleveraging, and evolving regulations in the digital-lending ecosystem.

List of Key Rating Drivers

Strengths

- Adequately capitalised
- Strong franchise growth, led by technology-based business model
- Improved profitability

Weaknesses

- Evolving funding profile
- Asset quality monitorable
- Macro, regulatory risk

Detailed Description of Key Rating Drivers

Adequately Capitalised: Over the years, ESPL's parent company, SWTL, has completed multiple equity funding rounds from investors, including TPG through Rise Fund, Eight Roads, Norwest Venture Partners, Chiratae Ventures, and TR Capital. Most recently, SWTL raised around INR3.1 billion from International Finance Corporation, of which around INR2.1 billion was a fresh issuance, strengthening the group's capital position. In addition, SWTL infused INR2.0 billion into ESPL in June 2026 and INR4.0 billion during FY26. Including these infusions, the cumulative equity infused by SWTL into ESPL stands at around INR14.5 billion. The consolidated leverage (debt/tangible equity) stood at 1.7x at end-FY26 (FY25: 1.1x; FY24: 1.4x), with no borrowings at the SWTL level. The management expects the leverage ratio to remain low over the medium term, with no plans to build leverage at the SWTL level.

The improvement in ESPL's capital levels provides sufficient headroom for medium-term loan growth and franchise expansion, with capital adequacy at 25.8% as of end-1QFY27 (FYE26: 23.8%; FYE25: 26.1%) and Tier I capital at 24.9% (22.6%; 24.8%). Furthermore, SWTL is pursuing an IPO, targeted for completion by FYE27, subject to market conditions and regulatory approvals. The company maintains adequate capital buffers to support business growth. Ind-Ra expects the capital buffers to remain adequate to absorb near- to medium-term asset quality pressures.

Strong Franchise Growth, Led by Technology-based Business Model: SWTL operates the Fibe digital platform, facilitating unsecured personal loans, purpose-driven finance, loan against mutual funds, and solar financing, with tenures ranging from six to 24 months for salaried and self-employed customers, largely across Tier 1 and Tier 2 cities. Its in-house technology platform enables end-to-end digital underwriting, shorter turnaround times, and rapid scalability, while regular refinements to the underwriting model support customer selection and credit-cost control. Purpose-driven finance (healthcare, education, and insurance premium financing) enables the company to have control on end-use of funds, as against personal loans which can be used by for any purpose.

The consolidated AUM increased to INR86.04 billion at FYE26 from INR52.90 billion at FYE25, comprising loans held on the group's own book and those originated with co-lending partners. Ind-Ra expects growth to remain healthy over the medium term, supported by product diversification and established co-lending partnerships, despite intense competition in the digital-lending segment. The company has also started targeting self-employed customers for its various loan products for diversifying the customer base.

Improved Profitability: SWTL, on a consolidated basis, reported an ROAUM of 3.7% in FY26 (FY25: 2.4%; FY24: 3.6%), supported by strong AUM growth and improving operating leverage. Managed AUM increased to INR86.0 billion at FYE26 (FYE25: INR52.9 billion), while the opex-to-average AUM ratio declined to 7.3% (8.7%; 10.8%). Credit cost moderated significantly to 6.0% in FY26 (FY25: 10.0%; FY24: 8.2%), supported by the resumption of portfolio growth, tighter underwriting, and a gradual shift towards higher-ticket loans. The company also benefitted by a consistent reduction in the cost of funding, which supported margins. Newer originations are consistently performing better than older cohorts, which has reduced credit cost. Ind-Ra expects profitability to remain healthy with increasing scale, provided SWTL maintains control over credit costs.

Evolving Funding Profile: ESPL had borrowings of INR35.4billion at FYE26, mobilised from over 41 lenders, including banks, NBFCs/financial institutions, mutual funds, alternate investment funds, and other institutional investors. The borrowing mix comprised NCDs at 47%, term loans from banks and NBFCs at 45%, pass-through certificates at 6%, commercial papers at 1%, and working capital demand loans at a negligible level. Although ESPL had no outstanding inter-corporate deposits from SWTL at FYE26, it retains the flexibility to raise them from the parent, if required.

The tenure of ESPL's term loans ranges from 12 to 42 months, and that of NCD ranges from 18 to 27 months. The increasing use of pass-through certificates provides funding diversification, although with a limited track record. ESPL also raises funds through commercial papers opportunistically, although their share remained low at 1% of the total borrowings at FYE26. The management expects the share of bank funding to increase, supported by additional lender relationships and around INR4.0 billion of unavailed bank lines, while the incremental cost of funding has reduced to around 11%

Asset Quality Monitorable: The GNPA ratio improved significantly to 1.18% as at FYE26 from 3.07% as at FYE25 (FYE24: 2.67%) and increased marginally to 1.34% in 1QFY27, while the net NPA ratio remained low at 0.29% as at 1QFY27 (FYE26:0.26%; FYE25: 0.89%; FYE24: 1.30%), reflecting adequate provisioning against Stage 3 assets.

Including write-offs, stressed assets fell to 1.98% (FY26: 4.98%; FY25: 9.17%; FY24: 8.74%), while restructured assets declined to 0.02% (0.03%; 1.09%; 0.84%). Credit costs also moderated in FY26. The improvement is reflected in static-pool performance, with 90+ DPD at nine month on-book declining to 1.84% in FY26 (FY25: 2.66%; FY24: 3.45%), supported by tighter underwriting and reduced exposure to lower-ticket, riskier customer segments. Ind-Ra expects asset quality to remain manageable over the near term. However, the inherent portfolio risk remains high, given the unsecured nature of loans, while borrower overleveraging, elevated credit costs, and the seasoning of the rapidly growing portfolio remain key monitorables.

Macro, Regulatory Risk: India's digital lending sector is subject to an evolving regulatory framework. The Reserve Bank of India's Digital Lending Directions, 2025, which incorporate the earlier digital lending directions guidelines, have enhanced regulatory clarity, but also increased compliance requirements for lenders and fintech partners. While digital lending continues to expand across personal loans, micro, small and medium enterprises credit, and embedded finance, Ind-Ra expects growth to be largely measured as lenders focus on portfolio quality, governance, and regulatory compliance. Changes in regulations relating to risk-sharing, customer protection, data privacy, and underwriting practices could impact the sector's growth prospects and profitability.

Liquidity

Adequate: ESPL's asset liability profile is supported by the adequate buffers available between the funding duration of over two years and assets-side duration of about less than one-and-a-half-years. At end-March 2026, SWTL's consolidated unencumbered cash and cash equivalents and liquid investments was around INR5,588 million including an unutilised CC/ODF/FD; this is more than sufficient to meet the debt obligations of INR3,598 million (total outflows) over the next two months, assuming nil collections and disbursements. The management intends to maintain cash and liquid investments equivalent to two to three months of debt repayments against the board approved liquidity policy of one month of debt repayments.

Rating Sensitivities

Positive: The following developments collectively could result in a positive rating action:

- a robust and sustained expansion of the franchise,
- steadily improving and less volatile trajectory in profitability and asset quality;
- adequate funding diversification

Negative: The following developments, individually or collectively, could lead to a negative rating action:

- sustained deterioration in asset quality
- deterioration in profitability
- the consolidated leverage exceeding 3.0x on a sustained basis
- funding challenges and inadequate liquidity

Any Other Information

Not applicable

ESG Issues

ESG Factors Minimally Relevant to Rating: Unless otherwise disclosed in this section, the ESG issues are credit neutral or have only a minimal credit impact on ESPL, due to either their nature or the way in which they are being managed by the entity. For more information on Ind-Ra's ESG Relevance Disclosures, please click [here](#). For answers to frequently asked questions regarding ESG Relevance Disclosures and their impact on ratings, please click [here](#).

About the Company

ESPL a non-deposit taking, systemically important mid-layer NBFC, which provides unsecured personal loans to salaried/self-employed individuals. SWTL, the parent company, inter-alia, provides technology-enabled underwriting platform that integrates an algorithm-based credit assessment and disburses loans though its application Fibe. The company has an entirely branchless lending model with its corporate office in Pune.

Key Financial Indicators

Particulars (INR billion)	FY26	FY25
Total assets	60.8	37.7
Total net worth^	21.6	17.1
Return on average AUM (%)	3.7	2.5
Debt to tangible equity (x)	1.6	1.1
^adjusted for intangible assets and deferred tax assets Source: SWTL company filings, Ind-Ra’s analysis		

Status of Non-Cooperation with Previous Rating Agency

Not applicable

Rating History

Instrument Type	Current Rating/Outlook			Historical Rating/Outlook			
	Rating Type	Rated Limits (INR million)	Current Rating	8 October 2025	9 October 2024	23 September 2024	27 October 2023
Non-convertible debentures	Long-term	500	IND A/Stable	IND A-/Positive	IND BBB+/Positive	IND BBB+/Positive	IND BBB+/Positive

Disclosure on instruments / activities and names of regulators:

A list of products/activities or ratings of instruments falling under the purview of various financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by Ind-Ra on its website. A link to the same has been provided below for ready reference:

Rating Activities

Note: Kindly note that for activities or instruments falling under the purview of FSRs other than SEBI, the grievance/dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Complexity Level of the Instruments

Instrument Type	Complexity Indicator
Non-convertible debentures	Low

For details on the complexity level of the instruments, please visit <https://www.indiaratings.co.in/complexity-indicators>.

Annexure

Instrument Type	ISIN	Regulator of instruments	Date of Issuance	Coupon Rate (%)	Maturity Date	Rating/Outlook	Size of Issue Amount (million)
NCDs*	INE01YL07268	SEBI	20 March 2024	11.50	6 October 2025	WD	500
NCDs*	INE01YL07284	SEBI	22 May 2024	11	5 December 2025	WD	500
NCDs*	INE01YL07292	SEBI	30 September 2024	10.9	27 March 2026	WD	500
NCDs	INE01YL07300	SEBI	25 October 2024	11.82	27 December 2026	IND A/Stable	320
Unutilised^						IND A/Stable	180
Total#							500
Source: ESPL; NSDL							
^Regulator: SEBI * rating has been withdrawn because NCDs have matured and have been paid-up #Total does not include withdrawn ISINs							

Contact

Primary Analyst

Pankaj Naik
Director
India Ratings and Research Pvt Ltd
Wockhardt Towers, 4th Floor, West Wing, Bandra Kurla Complex, Bandra East,Mumbai - 400051
+91 22 4000 1785
For queries, please contact: infogrp@indiaratings.co.in

Secondary Analyst

Ashutosh Mishra
Senior Analyst
+91 2240001700

Media Relation

Ameya Bodkhe
Marketing Manager
+91 22 40356121

About India Ratings

India Ratings and Research (Ind-Ra) is India's SEBI registered credit rating agency committed to providing India's credit markets accurate, timely and prospective credit opinions. Built on a foundation of independent thinking, rigorous analytics, and an open and balanced approach towards credit research, Ind-Ra has grown rapidly during the past decade, gaining significant market presence in India's fixed income market.

Ind-Ra currently maintains coverage of corporate issuers, financial institutions (including banks and insurance companies), finance companies, urban local bodies, and structured finance and project finance companies.

Headquartered in Mumbai, Ind-Ra has seven branch offices located in Ahmedabad, Bengaluru, Chennai, Gurugram, Hyderabad, Kolkata and Pune. Ind-Ra is recognised by the Securities and Exchange Board of India and the Reserve Bank of India.

Ind-Ra is a 100% owned subsidiary of the Fitch Group.

Solicitation Disclosures

Additional information is available at www.indiaratings.co.in. The ratings above were solicited by the issuer, and therefore, India Ratings has been compensated for the provision of the ratings.

Ratings are not a recommendation or suggestion, directly or indirectly, to you or any other person, to buy, sell, make or hold any investment, loan or security or to undertake any investment strategy with respect to any investment, loan or security or any issuer.

APPLICABLE CRITERIA AND POLICIES

Financial Institutions Rating Criteria

Non-Bank Finance Companies Criteria

The Rating Process

Evaluating Corporate Governance

DISCLAIMER

India Ratings and Research Private Limited (India Ratings) is a private limited company registered under the provisions of the Companies Act, 1956, having CIN U67100MH199SFTC140049, and registered office at Wockhardt Towers, 4th Floor, West Wing, Bandra Kurla Complex, Bandra East, Mumbai, Maharashtra, 400051, India. The contact details of India Ratings are Telephone No.: +91 22 4000 1700 and Fax. No.: +91 22 4000 1701. India Ratings is registered with the Securities and Exchange Board of India (SEBI) as a Credit Rating Agency under Section 12 of the SEBI Act, 1992, having SEBI Registration Number IN/CRA/002/1999.

India Ratings and Research Private Limited (India Ratings) is a Credit Rating Agency registered with the Securities and Exchange Board of India (SEBI) under Section 12 of the SEBI Act, 1992. In this capacity, India Ratings undertakes ratings of listed and proposed to be listed instruments that fall under the regulatory oversight of SEBI. In addition, in line with Regulation 9(f) of the SEBI (Credit Rating Agencies) Regulation, 1999, India Ratings rates financial instruments falling under the purview of other financial sector regulators (FSR). Instruments which come under the purview of other FSRs do not come under the overall governance of SEBI. Issuers/Users/readers of this communication/report are, therefore, cautioned to know the risks involved in dealing in such instruments. Such instruments can carry Liquidity and Price Risk which pertains to how saleable a Security is in the market. If a particular Security does not have a market at the time of sale, then the Investor's investments may have to bear an impact depending on its exposure to that particular Security. It is not possible to predict if, and to what extent, a secondary market may develop in the debt securities or at what price the debt securities will trade in the secondary market or whether such market will be liquid or illiquid. The more limited the secondary market is, the more difficult it may be for holders of the debt securities to realise value for the debt securities prior to redemption of the debt securities. If the debt securities are unlisted, then the ability of the Investors to resell or trade them may be limited, leading to liquidity and price risk on the debt securities. The returns from a particular asset class may underperform returns from other asset classes. The changes in government policy in general and changes in taxation may impact the returns to investors. There can be external risks arising out of geopolitical situations which can lead to volatility in/impact the performance of the individual securities. Issuers/Users/readers are advised to note that SEBI's investor protection mechanisms and SEBI's grievance or dispute

redressal mechanisms are not applicable to ratings assigned by India Ratings that fall under the purview of other FSRs. Should you have any grievance with instruments under the purview of other FSRs, please write to infogrp@indiaratings.co.in. For any grievance with instruments under the purview of SEBI, please write to investor.grievances@indiaratings.co.in.

All credit ratings assigned by India Ratings are subject to certain limitations and disclaimers. Please read these limitations and disclaimers by following this link: <https://www.indiaratings.co.in/rating-definitions>. In addition, rating definitions and the terms of use of such ratings are available on the agency's public website www.indiaratings.co.in. Published ratings, criteria, and methodologies are available from this site at all times. India Ratings' code of conduct, confidentiality, conflicts of interest, affiliate firewall, compliance, and other relevant policies and procedures are also available from the code of conduct section of this site.